(a) Recent data from the US economy show a revival and is projected to maintain its growth rate at 1.8 per cent for 2012 – economic growth in the US remains sluggish despite extensive use of both fiscal and monetary policy tools which has been a matter of concern for the whole world.

(b) The euro zone is expected to contract by 0.5 per cent in 2012

(c) The global economy is expected to grow by 3.3 per cent in 2012 compared to 3.8 per cent in 2011 as per the IMF's **January 2012** update of the *World Economic Outlook (WEO).*

(d) GDP growth in advanced economies declined to 1.6 per cent in 2011 compared to 3.2 per cent in 2010 and is expected to be even lower at 1.2 per cent in 2012 (IMF).

(e) Growth in emerging economies slowed to 6.2 per cent in 2011 compared to 7.3 per cent in 2010 and is projected to be 5.4 per cent in 2012 (IMF).

Reason of the Crisis

Predominant reason for the subdued growth in advanced economies at this juncture remains the sovereign debt crisis that started in the peripheral economies of the euro zone, but from the latter half of 2011, started to adversely affect the major economies there, as well. The exposure of European banks to public and private debt, issues relating to medium-term fiscal consolidation, and lack of consensus as how to resolve the crisis have continued to weigh on the global economic outlook as the eurozone accounts for close to ***20 per cent*** of global GDP.

Capital flows volatility resulting from the spillover effects of monetary policies followed by the advanced economies further affected the exchange rates and made the task of macroeconomic management difficult in many emerging economies; which is giving rise to a *new dimension of globalisation* in the post financial crisis world, where easy monetary policy in one set of countries may result in inflation elsewhere due to cross-border capital flows[4].

Unemployment Scenario